BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
BENCH AT ALLAHABAD

COMPANY PETITION (CAA) NO. 14/ALD/2022

connected with

COMPANY APPLICATION (CAA)-N0. 15/ALD/2022
(Under Sections 230-232 of the Companies Act, 2013)

In the matter of Sections 230 & 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

NAVJYOTI RESIDENCY PRIVATE LIMITED (CIN: U70102UP2010PTC042903), a private limited company within the meaning of Companies Act, 2013 having its registered office at 56, Model Town, Ghaziabad-201 001, Uttar Pradesh.

…….(Transferor Company-I/ Petitioner Company-I)

AND

ALD LAND & PROPERTY MANAGEMENT PRIVATE LIMITED (CIN: U45201UP2001PTC025955), a private limited company within the meaning of Companies Act, 2013 having its registered office at CM-27C, First Floor, Gagan Enclave, Amrit Nagar, G T Road, Ghaziabad-201 009, Uttar Pradesh.

…….(Transferor Company-II/ Petitioner Company-II)

AND

LAXMI MART PRIVATE LIMITED (CIN: U01111UP1987PTC008756) a private limited company within the meaning of Companies Act, 2013 having its registered office at CM-27C, First Floor, Gagan Enclave, Amrit Nagar, G T Road, Ghaziabad-201 009, Uttar Pradesh.

…….(Transferor Company-III/ Petitioner Company-III)

WITH

AMRIT BANASPATI COMPANY PRIVATE LIMITED, (CIN: U51909UP1985PTC056366) a private limited company within the meaning of Companies Act, 2013 having registered office at A-95, Sector-65, Noida – 201309, Uttar Pradesh.

…….(Transferee Company/ Petitioner Company-IV)

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Date of pronouncing the order: 29.05.2023

CORAM:
Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

COUNSEL APPEARED THROUGH VIDEO CONFERENCING:

Sh. Anil Kumar, PCS. : For the Petitioner

Sh. Ajeet Kumar Singh, AOL : For the OL/RD (NR)

Sh. Gaurav Mahajan, Sr. SC : For the I.T. Dept.

Sh. Shivendra Bahadur, CGSC : For the RoC

1. The present joint petition is filed by the Petitioner Companies under section 230-232 and other applicable provisions of the Companies Act, 2013, praying for the sanctioning of the Scheme of Amalgamation of Navjyoti Residency Private Limited (Petitioner Company No. 1/ "Transferor Company No.1"), ALD Land & Property Management Private Limited (Petitioner Company No. 2/ "Transferor Company No. 2") and Laxmi Mart Private Limited (Petitioner Company No. 3/ "Transferor Company No.3") with Amrit Banaspati Company Private Limited (Petitioner Company No. 4/ "Transferee Company").

2. The petitioner companies have prayed for sanctioning of the Composite Scheme of Amalgamation in the petition and notices to be issued to the authorities concerned in relation to the date of hearing of the petition and calling for objections. The said Scheme is attached as Annexure-1 of the company petition.

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3. The First Motion application was filed bearing Company Application No. (CAA) 15/ALD/2022 under Section 230 read with Section 232 of the Companies Act, 2013 seeking to dispense the requirement of convening the separate meetings of the Equity Shareholders and Secured Creditors and Unsecured Creditors of the Petitioner Companies. This Tribunal, vide its order dated 1st August, 2022 allowed the prayer for the dispensation of the meetings made in CA (CAA) No.15/ALD/2022.

4. The main objects, date of incorporation, authorized and paid-up share capital, and the rationale of the Scheme have been discussed in detail in the order dated 01.08.2022.

5. On August 3rd, 2022, the Petitioner Companies filed the Second Motion petition bearing Company Petition (CAA) No.14/ALD/2022 and this Tribunal *vide* its order dated August 10, 2022, directed the Petitioner Companies to serve notice upon the Regional Director (North), the Registrar of Companies, Uttar Pradesh at Kanpur, the Official Liquidator at Allahabad, the Income Tax Authorities of the respective Petitioner Companies and other sectoral authorities for filing their representation and also directed to effect newspaper publication in "Jansatta" in Hindi edition, and "Financial Express" in English edition, having circulation in the District Ghaziabad, where the registered office of the Petitioner Companies are situated. The Petitioner Companies complied with the directions and filed an Affidavit of Service on August 24, 2022.

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6. The Petitioner Companies have also filed an Affidavit dated 03/11/2022 on 04/11/2022 to the effect that they have not received any objection to the Scheme of Amalgamation from any stakeholder in response to the newspaper publication, in compliance of the Order dated August 10, 2022.

7. The Petitioner Companies vide their affidavit dated 03/11/2022 have also given undertaking to make compliance of provisions stated in Section 233(3)(i) of the Companies Act, 2013, with respect to fees to be paid on increased authorized Capital of the Transferee Company, in response to the Report of the Regional Director.

8. In response to such notice, the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, submitted its report by way of representation/affidavit, appending thereto the report of the Registrar of Companies, Uttar Pradesh, Kanpur. The Official Liquidator has also submitted its affidavit. The respective Assessing Authorities of Income Tax Department of the Petitioner Companies have not communicated any objection to the Tribunal during the statutory period for the purpose, from which it is presumed that they have no objection to the Scheme of Amalgamation.

9. In response to the above stated notice, the Official Liquidator, Uttar Pradesh has also submitted his Report on 21st September, 2022 and in Para 41 thereof, it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Companies No. I to III without

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winding up in pursuance to the provisions of Sections 230 and 232 of the Companies Act, 2013 and rules thereunder.

10. In response to the above stated Notices to the Regional Director (North), New Delhi, submitted his report through a representation/Affidavit, wherein the Regional Director (North), New Delhi, has made an observation with respect to the Compliance of Section 233(3)(i) of the Companies Act, 2013, with respect to fees to be paid on increased authorized Capital of the Transferee Company to which the Transferee Company/Petitioner No. IV, has given its undertaking by way of Affidavit. No objector has approached either to the Transferor Companies or before the Tribunal to oppose this scheme of amalgamation.

11. The Petitioners vide their affidavit of service dated 24.08.2022 informed that in Compliance of the Order dated 10.08.2022 they have served Notice to the Jurisdictional Income Tax Authorities. However, there was no representation nor any reply was filed by the Income-Tax Department despite service. Further, in the interest of justice, the Tribunal vide its Order dated 16.01.2023 directed the Authorised Representative of the Petitioners to serve a copy of the Notice to the Counsel of the Income Tax Department within 3 days and file and affidavit of service. Therefore, in Compliance of the same, the Petitioners have served a copy of the Petition to the Counsel of Income Tax Department by email on 18.01.2023 and by hand on 19.01.2023 and submitted an affidavit of service dated 30.01.2023.

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12. The Income Tax Department have filed its report stating that there is no Assessment Pending in case of all three Transferor Companies and have also stated that there is no demand outstanding against any of the Transferor Company except in case of Transferor/Petitioner Company No.1 of Rs.4,60,390/- for the AY 2020-21 and stated as under :–

> *"In respect of demand of Rs.4,60,390/- in the AY 2020-21, the Assesse Company has filed grievance at CP Gram Portal stating that the A.O. has disallowed the dividend income of Rs.20,24,388/- , which is exempt under 10(34) of the I.T. Act, and requested to delete the demand for the AY 2020-21."*

13. Further, in the interest of justice this Tribunal vide order dated 26th April, 2023 granted a last opportunity to the Income-Tax Department for filing reply on behalf of Transferee/Petitioner No. 4 to the Second Motion Company Petition making it absolutely clear that in case no representation / reply is filed on behalf of the Income-Tax Department, it shall be presumed that the Income-Tax Department has no representation to make on the proposed Scheme of Amalgamation and the Tribunal will proceed further in the matter. Since no Representation/ Reply was filed by the Income-Tax Department within the stipulated time period despite the last opportunity having been afforded, in terms of the provisions of Section 230 (5) of the Companies

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Act, 2013 read with Rule 8(3) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, it was presumed that the Income-Tax Department had no representation to make on the proposed Scheme of Amalgamation, accordingly the order was reserved on 17th May, 2023.

14. The Petitioner No. I, II, III and IV have also filed their Reply to the Representation Affidavit on 27/03/2023 and it is brought to the notice of the Tribunal that the Petitioner Company No. 1 is a wholly owned Subsidiary Company of the Transferee/Petitioner Company No. IV. The Petitioner Company No. IV has also given undertaking to the effect that arising out of the above demand of Rs.4,60,390/-, the crystallized amount/demand, if any, would be duly paid by the Transferee Company/ Petitioner Company No. IV.

15. The Petitioner Company No. IV has also given undertaking that the Income Tax assessment proceedings, which may arise or demand created against the Petitioner/Transferor Companies No. I and III, subsequent to the Scheme of amalgamation pending or arising as on the effective date shall be continued and enforced by or against the Petitioner Company No. IV/Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Petitioner/Transferor Companies No. I and III and the said proceedings, if any, shall never abate or discontinued nor be in any way prejudicially affected by reason of the Sanctioning

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of the Scheme of the amalgamation of Petitioner/Transferor Companies I, II and III with the Petitioner/Transferee Company No. IV.

16. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

17. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

18. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

19. It has been stated that the Petitioner Companies are closely held Companies and their Equity Shares are not listed on any Stock Exchange. Further, the Petitioner Companies are under common management and control.

20. The Petitioner Companies have annexed the Share Exchange Ratio Report dated 17th June, 2022 given by SSPA & Co., Chartered Accountants, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency

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and Bankruptcy Board of India (IBBI). As per the said Report, the Petitioner Transferee Company / Resulting Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the Petitioner Transferor Companies No. I, II & III whose names are recorded in the Register of Members / Records of Depository as owners on the 'Record Date' to be fixed by the Board of Directors of the 'Petitioner Transferee Company' as under:-

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Companies**
Navjyoti Residency Private Limited (Petitioner / Transferor Company No. I)	Transferor Company-I is a wholly-owned subsidiary of the Transferee Company and its entire share capital is held by the Transferee Company and its nominees. Accordingly, upon the Scheme becoming effective, the entire share capital of the Transferor Company-I shall stand cancelled.
ALD Land & Property Management Private Limited (Petitioner / Transferor Company No.	10 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 343 Equity Shares of Rs.10/-

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II)	each fully paid-up held by such Equity Shareholder in Transferor Company No. II.
Laxmi Mart Private Limited (Petitioner / Transferor Company No. III)	5 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 659 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. III.

21. We have gone through the reports of the Ld. Regional Director (Northern Region), Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Income-Tax Department having jurisdiction over the Petitioner Companies and the Reply Affidavits filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme of Amalgamation is not against public policy, nor it would be prejudicial to the public interest at large.

22. In addition to above, all the statutory compliances seem to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer Clause.

23. As a result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and

sanctioned and the same shall be binding on all the Shareholders, Creditors and other stakeholders of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the 'Appointed Date', i.e., 1st April, 2022. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme of Amalgamation.

24. While approving the Scheme of Amalgamation as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, as applicable), taxes (including Income-Tax, GST or other charges, if any, as applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law. It is further clarified that sanction of the Scheme of Amalgamation under Section 230-232 of the Companies Act, 2013 shall not adversely impact the rights of the Income-Tax Department in relation to any past, present and future tax proceedings against Transferee Company and the Income-Tax Department shall be at liberty to take appropriate action as per law against the Transferee Company for its own income tax liabilities as well as the liabilities of any of transferor companies.

25. It is further declared that upon the Scheme becoming effective, the Transferor Companies shall stand dissolved without being wound up and their names shall be struck off from the records of the Registrar of Companies. It is further

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provided that upon the Scheme being effective, the authorized share capital of the Transferee Company shall automatically stand increased by merging the authorized share capital of all the Transferor Companies with the Transferee Company and the capital clause of the Memorandum of Association of the Transferee Company shall be replaced with the following:

> "*The Authorized Share Capital of the Company is INR 33,42,00,000 (Rupees Thrity Three Crores and Forty Two Lakh only) divided into 3,04,20,000 (Three Crore Four Lakh Twenty Thousand only)Equity Shares of INR 10 (Rupees Ten only) and 30,00,000 (Thirty Lakh only) 7 % Redeemable Preferences Shares of INR 10 (Rupees Ten only) each with the rights, privileges and conditions attaching thereto as are provided by the regulations of the Company for time being with the power to increase, reduce the capital and to divide the shares in the capital for the time being into several classes and to attach thereof respectively preferential, deferred, qualified or special rights privileges and conditions as may be determined by or in accordance with the regulations of the Company and to vary, modify, abrogate and such rights , privileges or conditions in such a manner as may for the time being be provided by the regulations of the Company."*

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THIS TRIBUNAL DO FURTHER ORDER:

26. <u>With respect to Amalgamation of the Transferor Companies No. I, II and III with the Transferee Company</u>:

i. Upon the Scheme becoming effective, all the property, rights and powers of the Transferor Companies No. I to III specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Transferor Companies No. I to III be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Companies No. I to III therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Transferor Companies No. I to III be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Transferor Companies No. I to III, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company as provided in the Scheme of Amalgamation; and

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iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Transferor Companies No. I to III be continued by or against the Transferee Company; and

v. All undertakings if any given by the Petitioner Companies in response to the RD, OL & IT Deptt. Reports shall be fully complied with.

vi. Upon the Scheme finally coming into effect and in consideration of the transfer and vesting of all the said assets and liabilities of the Transferor Companies No. I to III to the Transferee Company in terms of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Shares to the Shareholders of the Transferor Companies No. I to III in the following manner as provided in the Scheme of Amalgamation:

Name of the Transferor Company	**No. of New Equity Shares to be issued by Transferee Company to the members of the Transferor Companies**
Navjyoti Residency Private Limited (Petitioner / Transferor Company No. I)	Transferor Company-I is a wholly-owned subsidiary of the Transferee Company and its entire share capital is held by the Transferee Company and its nominees. Accordingly, upon the Scheme becoming effective, the entire share capital of the Transferor Company-I shall stand cancelled.

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ALD Land & Property Management Private Limited (Petitioner / Transferor Company No. II)	10 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 343 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. II.
Laxmi Mart Private Limited (Petitioner / Transferor Company No. III)	5 Equity Shares of Rs.10/- credited as fully paid-up in the Transferee Company for every 659 Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in Transferor Company No. III.

27. The Petitioner Companies shall within thirty days of the date of the receipt of certified copy of this Order cause a copy of this order delivered to the Registrar of Companies, Uttar Pradesh, for registration and on such certified copy being so delivered, the Transferor Companies No. I to III shall stand dissolved without undergoing the process of winding up and the Registrar of Companies, Uttar Pradesh shall place all documents relating to the Transferor Companies No. I to III with him on the file kept by him in relation to the Transferee Company and the files relating to the said three Petitioner Transferor Companies shall be consolidated accordingly.

28. The Petitioner Companies shall supply legible print outs of the Scheme of Amalgamation and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

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29. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

30. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Scheme of Amalgamation duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

31. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

32. Accordingly, the present Company Petition bearing CP (CAA) No.14/ALD/2022 is allowed and stands disposed of.

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(Ashish Verma)
Member (Technical)

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(Praveen Gupta)
Member (Judicial)